

have achieved that kind of success for your clients? What do you do when an investment performs poorly for an entire year? (Any adviser who answers “sell” is not worth hiring.)

Do you, when recommending investments, accept any form of compensation from any third party? Why or why not? Under which circumstances? How much, in actual dollars, do you estimate I would pay for your services the first year? What would make that number go up or down over time? (If fees will consume more than 1% of your assets annually, you should probably shop for another adviser.⁶)

How many clients do you have, and how often do you communicate with them? What has been your proudest achievement for a client? What characteristics do your favorite clients share? What’s the worst experience you’ve had with a client, and how did you resolve it? What determines whether a client speaks to you or to your support staff? How long do clients typically stay with you?

Can I see a sample account statement? (If you can’t understand it, ask the adviser to explain it. If you can’t understand his explanation, he’s not right for you.)

Do you consider yourself financially successful? Why? How do you define financial success?

How high an average annual return do you think is feasible on my investments? (Anything over 8% to 10% is unrealistic.)

Will you provide me with your résumé, your Form ADV, and at least three references? (If the adviser or his firm is required to file an ADV, and he will not provide you a copy, get up and leave—and keep one hand on your wallet as you go.)

Have you ever had a formal complaint filed against you? Why did the last client who fired you do so?

Defeating Your Own Worst Enemy

Finally, bear in mind that great financial advisers do not grow on trees. Often, the best already have as many clients as they can handle—and may be willing to take you on only if you seem like a good match. So they will ask you some tough questions as well, which might include: